Unit 3:

Financial Statement Analysis:

- **Meaning of Financial statement:**

Financial statement refers to 2 basic statements which an accountant prepares at the end of an accounting period of a business enterprise.
These are balance sheets, which reflects the assets, liabilities, & capital as on a certain date. And profit & loss a/c which shows, the results of operations that means profit & loss during certain period.

Apart from the balance sheet & Profit & loss a/c the following financial statements are also prepared.

① **Fund Flow statement:**

which explain increase or decrease in working ~~capital~~ capital during the accounting period

② **Cash Flow statement:**

Which explains changes in cash positions bet^n beginning & end of the accounting period.

- According to internation accounting standard's board:

The objectives of financial statements is to provide info. abt. the financial position, performance & changes in financial position of an enterprise that is useful to a wide range of users in making economic decisions.

- Nature of Financial Statement:

① Recorded Facts:
The Financial statement shows factual data drawn from the financial a/cs. eg., items like cash in hand, cash at bank, cost of fixed assets are the facts recorded in the books.

② Accounting Conventions:
Financial statements are affected to a large extent by various accounting concepts & conventions. eg., bez. of going concern concept fixed assets are recorded at cost & not at their market value.

③ Personal Judgements:
An accountant is guided by accounting concepts & conventions in preparing the financial statements eg., An accountant has ~~decided~~ decide to ~~use~~ whether to use straight line method or return down value method for depriciation of fixed assets.

- Analysis & Interpretation
Analysis of FS means critically examine the composition of items or amt. appearing in the Financial statements.
In other words analysis means breaking up of an amt. into its elements so that a particular ele. maybe co-related to another & significant relationship maybe established betn them.

Defn: Financial statement Analysis

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Financial statement analysis means largly a study of relationship among various financial factors in a business as disclosed by a single set of statements and a study of trends of these factors as shown in a series of statements.

Financial statement interpretation is determining the meaning & drawing inferences of conclusion with regards to results of significant relationship betn the items co-related.

- Parties interested in Financial statement Analysis.

- Significance / purpose of Financial statement Analysis.

① Judging Profitability:

Profitability is a measure of the efficiency & success of a business enterprise. Company which earns profits at higher rate is definitely considered a good company by the potential investors. The potential investors analyse the FS to judge the profitability & earning capacity of a company. So, as to decide whether to invest in a company or not?

② Judging Liquidity:

Liquidity of business refers to its ability to pay off its short term liabilities, when they become due. Short term creditors like bankers make an assessment of liquidity before

granting credit to the company.

③ Judging Solvency:

Solvency refers to the ability of a company to meet its long-term debts. long-term creditors & financial institutions judge the solvency of the company before any lending decision.

④ Judging Efficiency of Mgmt:

Performance & efficiency of mgmt. of a company can be easily judged by analysing its FS's. Profitability of company is not a only measure of company's managerial efficiency.

⑤ Inter-Firm Comparison:

The Comparative study of financial & operational efficiency of diff. firms is possible only after proper analysis of their financial statements. for this purpose it's also necessary that financial statements are maintained on a uniform basis. So, that financial data of various firms are ~~Comparable~~ Comparable.

⑥ Forecasting & Budgeting:

Financial analysis is the starting point for making plans by forecasting & preparing budgets. Analysis of FS of the past years helps greate deal in forecasting for the future.

• Limitations of Financial statement Analysis:

① **Effect of Accounting Concepts & Conventions:**
Various concepts & conventions affects the values of assets & liabilities. Similarly profit & loss (P&L) disclosed by P&L a/c is also affected by these concepts & conventions. For eg., An a/c of going concern concept & Conservatism, ~~of~~ Convention of

② **Effect of personal Judgements:**
The FS's are influenced by to a certain extent of financial judgment of accountant. An accountant has also make judgment abt. the method & the rate of depreciation. The quality the FS depends upon the competance & integrity of those who are responsible for preparing these statements.

③ **Recording only Monetory transactions:**
FS record only those transactions which can be expressed in terms of money. But there are many factors which are qualitative in nature & can't be expressed in monetory terms. For eg., efficiency of workers.

④ **Historical in nature:**
FS disclose data which is basically which is historical in nature that means it tells what has happened in the past.

⑤ Ignores Human Resources:

No business can prosper without an efficient work force. But FS don't include Human Resources which ~~are~~ is very imp. asset for a business.

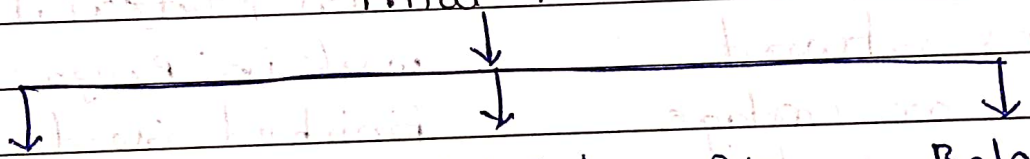
⑥ Ignores Social Cost:

FS don't make any attempt to show the social cost of its activities. For eg., Social cost of manufacturing units are air pollution, water pollution & work injuries.

Imp

~~Final~~

Final A/c



Tracing A/C | Profit & Loss A/C | Balancesheet